

Outlook

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Which customers reprice first when rates move? - 2023 control review

Hi all,

I may be joining dots that do not belong together, so please challenge the premise.

The planning team needs to understand which product and customer groups are most exposed when lending and account rates change. The discussion is currently being driven by anecdotes, and the teams involved are describing the same customers differently.

Could the answer be that variable-rate borrowers show stress before fixed-rate borrowers? Or are we actually seeing that fee-sensitive deposit activity changes after repricing? I also do not want us to miss the possibility that repayment stress is driven more by cash flow than by nominal rate.

This has returned because the previous answer was useful but not strong enough to become a standing rule. Use September 2023 as the new evidence point rather than recycling the earlier conclusion. The practical decision is where product repricing, customer communication or credit monitoring should be focused. Please send a working Excel file with the exception population and clear columns; I need the exceptions and counter-examples, not only an average.

Work from monthly account snapshots, status events, limits, product enrolments and signatories; the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; transaction-level timestamps, channels, amounts, statuses and error context; collections cases, promises to pay and recovery payments; customer contacts, complaints and suggestions. This is a behavioural sensitivity study, not IRRBB, economic value of equity or a regulatory interest-rate calculation.

Regards